

Benchmark - Enterprise Resource Planning (ERP) as a Business Solution

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The XYZ management team is working to address the lack of efficiency in information communication between departments in regards to order volume/production. This lack of efficiency is negatively impacting customer solutions as reports of production and other key information is delaying the processes creating a domino effect on reduced customer satisfaction. To streamline communication of key data XYZ Co. will implement an ERP system to provide all authorized department teams to access and update data quickly and efficiently. Though every factor of the business processes is important to the success of XYZ Company, the key implementation security concerns that will be addressed surround identity management such as single authentication, automatic trust, and full access rights within a new ERP implementation.

ERP systems provide a streamlined platform for all authorized users to update, access, and review data efficiently within a timely manner which increases productivity rates and betters over customer care/services. Within ERP implementation, XYZ data migration team will work to ensure that all identity management be properly implemented for the security of all user accounts and data accessibility. It is essential that each user that is able to access the platform performs proper security hygiene including utilizing Single Sign On (Reyes, 2023). These will allow users to log into the ERP system, verify their identity and grant access to the relevant applications with additional logins via security token or digital certificates. This will further simplify and streamline the process of user authentication and experience for better productivity rates. To ensure that automatic trust of information is being stored and transmitted between departments there will be overall standard formatting of how specific information is recorded and stored so that records are not varying in forms and thus simplest how data will be recognized by the ERP systems for optimal usage (Pearlson, et al., 2020). The IT department will implement

information security procedures to ensure that proper management is approving users prior to providing user access and ensuring that access is limited to only what is necessary to perform their role. This limited user privilege is another security solution that can reduce a potential data access breach from spreading.

Executive Summary

The XYZ company seeks to increase productivity levels and decrease inaccuracies within various departments such as volume and production and customer solutions. The current procedures in place are inefficient and are creating a domino effect that is negatively impacting customer satisfaction and profit. Once the ERP system is implemented, XYZ company will be able to have access to a centralized management platform for all departments to have interconnected access to resources and data and allow for automatic workflows and up-to-date reports. The full complete migration from Legacy processes and systems to the new Erp platform will approximately take 15 months to 2 years but will occur within an increment based system along with testing and small Integrations of workflows with full hands-on training. To accomplish this XYZ will appoint a lead team responsible for the communication planning and execution of the complete ERP system data migration and implementation.

XYZ Company is aware of the security risks along with data privacy risks involved with implementing this new migration but with collaboration of outside consultation from the Erp system vendor and Experts of our current information technology systems there will be strict Regulatory Compliance and ensure that the appropriate users have limited relevant access. This ERP Business Solution and proposal will cover not only the timeline and plan to migrate the

systems but will also express the potential risks and solutions to those risks that management has considered.

Overview

The XYZ company fully prioritizes customer care and provides services quickly and with the best quality as possible. To maintain our business priorities the current business strategies need to be implemented in an innovative way that meets the current customer need. ERP systems are the best solution to reduce data errors in a consistent manner while providing updated reports quickly and efficiently. According to recent reports and the concerns submitted by trusted employees and experts XYZ Co. recognizes the lack of accuracy and speed of data transmission between different departments which was resulting in a lack of operational efficiency. This ERP transition XYZ Co. seeks to mitigate the present challenges of managing the current order value and lack of operational efficiency. Through the ERP systems, XYZ Co. employees will be able to input, manage and review relevant data within a streamlined and up to date platform.

Assumptions and Rationale

Currently all XYZ company reports are being completed manually and are being transferred throughout our departments in an inefficient way. This lack of operational efficiency is creating a workflow that is slower than the current customer order volume. Each transfer of information requires proper authorization and accessibility of user within each department; this information security procedure cannot be compromised nor can the integrity and privacy of the data be at risk. Well to maintain this priority XYZ company needs to ensure that customer satisfaction is being upheld at the most priority as it is a pillar in the business model. XYZ company is facing extreme competition within this customer solution market and seeks to be a

leader in this market through great customer service and quick order quality and deliverance.

The best way to provide customer satisfaction and maintain information security is to integrate a new platform that streamlines information securely while still adheres to proper user access.

Project Summary

XYZ has a primary objective to improve reporting accuracy and efficiency well providing a reliable collaboration platform for all departments. This in turn will provide data accuracy, ensuring that reports are being communicated between all departments within a secure, authentic and available system. The scope of this project includes, Finance, Customer Care, inventory, distribution, production, and POS systems. Erp systems will allow Automation of workflows regarding product inventory, customer orders, reward accounts, accounting and financial reporting while allowing management to monitor production to address decreased rates and inefficiencies within the platform. XYZ Co, will require open Communication between key leaders and team members who will participate in this initiative. The context includes project manager leads of sales leads of Finance the RP vendor team, the IT team, and customer care .

Management will use key metrics and success factors to evaluate the successes And failures as the ERP project meets different milestones on the incremental timeline. This will include inventory turnover, increase of production speeds, increase of user satisfaction, the increase of customer satisfaction and the ability to foresee business needs with higher accuracy. Each stage of the Migration there will be planned assessments to ensure that the data is secure, accurate and available along with surveys that ensure user satisfaction. XYZ Wasn't sure that all employees will be fully trained on this new platform and ensure that all workflows are

properly integrated to best match efficient business strategies within the department and within the interconnected pieces (Pearlson, et al., 2020).

Financial Discussion and Analysis

ERP system will provide XYZ with financial benefits as inefficient processes will be addressed and resolved resulting in increased productivity, order management, and customer satisfaction. XYZ is collaborating with Erp Co., a reliable, secure and expert vendor platform; because of the prestigious hardware, software, maintenance, third-party software add-ins and integration costs XYZ Co will be using a corporate budget after reviewing all of the essential costs. There will be a detailed financial model to project the positive impacts and negative impacts within the next 10 years. The ERP system is expected to increase cash flow and revenue due to the resolution of the inefficient reports, communication, operations, and customer care and in turn will deliver a long lasting value in reducing finance loss.

Benefits and Business Impacts

XYZ is committed to ensuring that customer care is quick and secure. Due to the company growing and the customer demand is increasing, the operational efficiency needs to be upgraded to best support our employees and provide optimal customer service. The ERP migration will provide XYZ with upgraded hardware and software from the current legacy systems and will allow for systems to be streamlined between the various departments across the entire organization. More specifically, the ERP system will enhance business reporting with real-time information from a single/streamlined database. In addition, customers will receive better service with faster and more improved access to customer information, inventory costs will be improved with more accuracy, and cash flow will increase due to better invoice and collection

tools. Each of these improvements will create a domino effect to save on costs that usually occur due to inventory, customer service and vendor relationship management. The ERP platform will allow the XYZ Co. to improve security resources, reduce the risk of malicious software and improve overall business processes and workflows (Terillium, 2024).

With the ERP platform allowing for a streamlined database for interconnection communication efficiency between departments, XYZ CO. will be able to provide quicker customer service, have accurate inventory and order management without having to wait on delayed reports between departments. Each operational process that requires reports or data to be transferred between departments will be simplified and accessible to input, display, manage, and receive in one location allowing for increased efficiency.

Schedule and Milestones

The schedule that XYZ Co. set up will contain incremental phases across 15 months to a year starting with the assignment and delegation of the lead ERP implementation and data migration team. The first milestone will consist of the lead team collaborating with each of the departments to determine the specific requirements that meet current and future needs. Next the lead team will collaborate with management from each department to determine the best time frames to accomplish the tasks at hand starting with data migration. The ERP will be filled with the data from the legacy systems which require hands-on monitoring for each state of the data (at rest, in transit and in storage). Each data element needs to be identified and mapped within the legacy system to properly be converted and transformed into ERP acceptable formats. Next there will be ERP data validation rules that need to be created or removed prior to migration all while the data migration process is fully documented throughout each increment. The data will be

migrated in increments one department at a time with simple transaction testing after each transfer. The next milestone will be multi-stage transactions of testing to ensure that the data is available and secure for all operational needs. The next milestone will require employees to receive training on how to optimize the ERP platform for their job responsibilities. After full implementation XYZ Co. will require a few final checks, hands-on training, user surveys on any adjustments that need to be made to accommodate the business needs (*ERP Migration Steps (Your ERP Migration Checklist)*, n.d.).

Risk and Contingency Analysis

When implementing an ERP system there are some risks to data loss or inaccurate conversions along with assuring that information security compliance is adhered to within the new platform. One of the risks would be a bad data conversion with poor data quality which can create delays and increased costs. In addition, there is an increased risk for users to have inappropriate access to unapproved rights. If training is not implemented or received appropriately, there can be an increase of user error by employees who may not understand the best practices within the first few weeks of using the software. If these user errors are not addressed it can result in inefficient or inaccurate practices that can reduce operational efficiency and damage revenue (Shaw-Flach, 2024).

Conclusion/Recommendations

In sum, XYZ Co. is dedicated to ensuring that all customers receive impeccable service and strives to meet the increasing demands and growth of the company. Through the ERP Implementation and Data Migration plan, the organization seeks to empower its employees with a platform that will boost operational efficiency, order management, and increase security with

all data. The ERP platform will allow for employees from different departments to fulfill their duties while decreasing the waittime and providing real-time information. The platform will boost operational efficiency and effectiveness which will boost the customer experience and cashflow.

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